

1. PROGRAMME PURPOSE & VISION

The central sector initiative titled Supporting Dairy Cooperatives and Farmer Producer Organizations engaged in dairy activities (SDCFPO) serves as a financial shock absorber under the official [DAHD SDCFPO Portal](#).

- Stabilize the entire domestic dairy supply chain by giving institutional buffer security to milk producer bodies.
- Eliminate severe liquidity stress cycles encountered by village-level collectives due to extreme market volatility.
- Safeguard consistent, remunerative prices for millions of marginal cattle owners across rural production zones.

- Empower producer-owned entities to seamlessly handle flush-season milk surpluses without delaying payment cycles.
- Facilitate operational continuity for rural micro-enterprises during natural calamities and economic disruptions.

2. ELIGIBILITY CRITERIA

To access the credit-linked fiscal subventions administered through the central framework, applicant bodies must explicitly fall within the designated Producer-Owned Institutions (POIs) bracket defined by the [QCI Evaluation Framework](#).

- State Cooperative Dairy Federations maintaining apex operations within their respective territorial boundaries.
- District Cooperative Milk Producers Unions executing daily milk processing loops directly from rural roots.
- Properly incorporated Farmer Producer Organizations (FPOs) focused on dairy production value addition loops.
- Apex Milk Producer Companies operating as structured, multi-state collective units

under active regulatory laws.

- Primary Agricultural Credit Societies (PACS) that integrate formal dairy procurement infrastructure setups.

3. FINANCIAL BENEFITS & SUPPORT

The fiscal allocation mechanism under the Infrastructure Development Fund (IDF) provides high-impact relief windows as outlined on the [PIB Ministry Directory](#).

- Direct interest subvention rate fixed firmly at 2.0% per annum on active commercial working capital loans.
- Performance incentives providing an extra 2.0% per annum subvention for prompt interest servicing milestones.
- Total cumulative subvention capability scaling up to a massive 4.0% per annum for prompt repayment timelines.
- Provision of highly structured soft loans dedicated entirely to backing crucial

working capital requirements.

- Extended funding liquidity provisions built to maintain timely direct benefit transfers straight to dairy farmers.

4. STEP-BY-STEP APPLICATION ROUTE

Eligible bodies must follow the exact procedural progression enforced by the primary implementation agency to secure monetary allocation via the [DAHD Scheme Directory](#).

1. Submit detailed working capital credit applications through active commercial banking networks or NDDB channels.
2. Undergo thorough credit risk evaluation processes conducted directly by the primary institutional financing agencies.
3. Secure institutional working capital loan sanctions covering defined operational procurement periods.

4. Route verified claim documents electronically through the designated NDDB online implementation platform.
5. Receive automated direct interest subvention disbursements routed to the primary institutional loan ledger.

5. MANDATORY COMPLIANCE RECORDS

For successful processing of interest subvention claims, organizations must maintain updated physical and digital evidence verified against the [NITI Policy Viewer](#).

- Valid institutional registration certificates alongside complete statutory incorporation blueprints.
- Formally signed commercial term loan sanction letters explicitly detailing working capital caps.
- Audited financial statements spanning the previous three consecutive financial operational years.

- Up-to-date banking utilization summaries alongside prompt loan repayment history tracking sheets.
- Certified monthly milk procurement data outlines detailing actual farmer payout ledger cycles.

6. WHITE REVOLUTION 2.0 LINK

The scheme works in close convergence with the newly launched White Revolution 2.0 policy guidelines, which are managed collaboratively via the [PIB Development Portal](#).

- Establishing 75,000 new Multi-purpose Dairy Cooperative Societies across underserved village production blocks.
- Strengthening 46,000 existing primary dairy cooperative societies through capital infusion paradigms.
- Targeting a national milk procurement scale reaching 1000 Lakh Kilograms per Day over five years.
- Enhancing active women participation by prioritizing female-led dairy collectives and self-help loops.

- Modernizing local primary milk chilling hubs by upgrading basic automated fat testing equipment modules.

7. TYPICAL QUESTIONS

RESOLVED

Key baseline operations and administrative clarifications are officially addressed through the [Parliament Information Archives](#).

- **What is SDCFPO?** A targeted interest subvention tool protecting dairy unions against severe market stress cycles.
- **Who implements it?** The Department of Animal Husbandry and Dairying executes the model via NDDB networks.
- **Can FPOs apply?** Yes, all qualifying dairy-based Farmer Producer Organizations are fully eligible for support.
- **What is the loan cap?** Loans scale safely according to institutional

procurement volumes and bank credit approvals.

- **How are benefits given?** Directly credited back into the institutional loan accounts via electronic pathways.